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Towards the Effective Management of Social Innovation Projects: Insights from Project Management.

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Abstract

Recently, research on project management has widened its scope to consider social innovation-oriented projects. However, research in this domain is still in its infancy; little empirical data has been conducted in this area and there are few comprehensive or practical guides available to project managers in this sphere. Social innovation projects are poorly understood in practice and prone to failure. We find that project management processes are poorly-defined and unwieldy in this context; control systems are lax, and consequently projects are inefficient. Social innovation projects have unique characteristics and are inherently different to typical industrial-oriented projects which must be considered by project managers. The goal of our research is to better understand this important-but-neglected area. We synthesise the literature and classify social innovation projects from key perspectives; we then present a comparative analysis of social innovation projects and industry projects in order to draw insights about what aspects from project management can be applied to the social innovation domain in order to increase levels of effectiveness and efficiency. From this analysis, we identify six key issues and challenges that social innovations are currently facing. The major contribution of this research is to gain a better understanding of the relationship between social innovation and project management. For researchers, these findings contribute to theoretical development within the field of project management; for practitioners, it provides important insights to help manage such important initiatives. The insights provided by this discussion should help in understanding some of the conceptual and practical difficulties that have prevented the effective implementation of social innovation projects.

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1. Introduction.

Social innovation is defined and described in many ways in literature. For example, Mehmood and Parra¹ adopt a process perspective and consider it to be “the generation and implementation of new ideas that are motivated by the goal of meeting a social need”. Young² examines social innovation in terms of its output and suggests that the goal of social innovation is to increase the welfare of the individuals who adopt it compared with the status quo. Moulaert et al³ maintain that social innovation fosters inclusion and wellbeing by improving social relations and empowerment processes. Social innovation is synonymous with social entrepreneurship and it has been examined by many different disciplines, namely, sociology, economics, geography, urban studies and philosophy³.

However, despite this, the management of social innovation projects is still “poorly understood in practice”⁴. It seems that organisations are failing to implement social projects effectively. There is a lack of adequate mechanisms to adopt, adapt and scale social innovations⁵. According to Mulgan⁶, “the field of social innovation has grown up primarily as a field of practice, made up of people doing things and then, sometimes, reflecting on what they do”. Researchers note that “more work needs to be done to understand the precise way in which social innovation can best be supported”⁵. Nisar⁷ contends that “there is the need to implement appropriate project governance practices”. It seems that these deficits need to be addressed; social innovation-type projects must be managed appropriately in order to be more effective and efficient. However, Kanter⁸ warns that “it isn't easy to make the new paradigm work”.

An analysis of the literature reveals that social innovation projects are inherently different from traditional industry-oriented projects in many ways. According to Murray et al⁹, work on social innovation is “distinctive in its outcomes and relationships”. Managing social innovation projects requires experimentation, engaging citizens as co-creators, and the ability to turn promising ideas and new service models to scale¹⁰. Consequently, it is not possible to implement traditional project management structures and processes in this context; it seems that a unique approach is needed. However, there are some similarities between the two contexts, and a comparative analysis may offer some insights about what project management practices can be applied to the social innovation space. Our research seeks to understand the key issues involved in managing social innovation initiatives or projects. In this paper, we synthesize the literature to understand the unique aspects of managing social innovation-type initiatives. From this, a typology is presented; this typology groups and classifies social innovation according to common characteristics or traits. Next, we compare and contrast typical industrial projects, and social innovation projects to identify commonalities and unique aspects. Finally, key issues relating to managing social innovation projects are identified and presented.

2. Theoretical Background.

According to Pol and Ville¹¹, the term *social innovation* has swiftly entered the academic discourse, but they find that “there is no consensus regarding its relevance or specific meaning”. Lisetchi and Branca¹⁰ also note that “a discussion is evolving around a number of interconnected concepts”. It seems that the area is being examined from different perspectives using many theoretical lenses. Most notably, we find that social innovation is closely linked to social entrepreneurship, both being used synonymously in the literature. In this regard, social entrepreneurship is defined as an “innovative social venture” by authors such as Dees and Anderson¹² and Cochran¹³. Also Cukier et al¹⁴ refers to “entrepreneurial activities with an embedded social purpose”. Consequently, it has been concluded that “social entrepreneurship is a social innovation”¹⁰.

At present, there are a number of researchers working on management-oriented aspects of the social innovation area. For example, Saul's¹⁵ work examines strategies that leverage social change as a way to drive profitable business growth; Mumford's¹⁶ study explores strategies and tactics to generate and implement social innovations; Westley and Antadze's¹⁷ research focuses on strategies for scaling social innovation for greater impact. Other researchers such as Vesa et al¹⁸ study social innovation in terms of harnessing different capabilities; they propose a framework for studying the social aspects of economic innovations in an effort to strengthen such innovations; while

Young's² work centres on modelling the dynamics of social innovation, showing that local clustering greatly enhances the speed with which social innovations spread.

3. Method.

The investigation is based on a detailed synthesis of the literature in the area of project management and social innovation. From this analysis, a typology is developed; here, concepts are identified and grouped into categories in order to expand and facilitate a deeper understanding of the nature of social innovation, and social innovation projects. This typology seeks generalizable regularities and basic explanatory categories that permit the grouping of certain social innovation aspects, and contrasts them with those of project management. Next, a comparative analysis of project management and social innovation is developed in order to draw insights about what aspects from project management can be applied to the social innovation domain. Finally, key issues and challenges are identified.

4. Typology

We find that the extant academic literature provides a diverse and fragmented array of definitions for the concept of social innovation; nevertheless, while analysing the literature, we have come across similar patterns in the way social innovation is defined. Previous studies have also attempted to organise this domain^{19,5,3}; we build on these studies and present a typology which attempts to classify common characteristics from a project management perspective. Here we determine four project-oriented approaches (see Table 1).

Table 1. Typology of Social Innovation Concepts.

Approaches	Definition of social innovation (SI)
Problem-solving approach	SI is concepts, ideas and organisations that meet social needs of all kinds and extend and strengthen civil society²⁰. SI is to imagine and put into practice an original way to solve problems and open new opportunities²¹. SI relates to how individuals, groups and communities take action in response to the problems of unsustainable practices and unsatisfied social needs while focusing on the challenges of environmental degradation and climate change¹. SI is discovering the hidden or unrealized business potential in social change. SI is about innovating creative, market-based solutions to social problems that result in high growth, profitable business opportunities¹⁵.
Service-oriented approach	SI is new ideas (products, services and models) that simultaneously meet social needs and create new social relationships or collaborations. SI is both good for society and enhances society's capacity to act⁹. SI is innovative activities and services that are motivated by the goal of meeting a social need, and that are predominantly developed and diffused through organisations whose primary purposes are social⁵. The generation and implementation of new ideas about how people should organise interpersonal activities, or social interactions, to meet common goals¹⁶.
Evolving approach	SI means fostering inclusion and wellbeing through improving social relations and empowerment processes. It is used as a label to indicate significant changes in the way society <i>evolves</i>, how its structures are modified, its ethical norms revisited, etc.³ SI is <i>changes</i> in the cultural, normative or regulative structures of the society which enhance its collective power resources and improve its economic and social performance¹⁹. SI takes place through windows of opportunities for social creativity along lines of life, lines of imagination, and lines of bringing in assets for a better future. SI often emerges from conflict²².
Process approach	SI is a novel mechanism that increases the welfare of the individuals who adopt it compared with the status quo². SI is an initiative, product or process or program that profoundly changes the basic routines, resource and authority flows or beliefs of any social system²³. SI is the process of explicitly applying innovation to social and environmental improvements through business actions²⁴.

The *problem-solving* approach has gathered momentum and gained traction over the last few years. It looks at social innovation as the development of progressive solutions to tackle social problems by combining resources in new creative ways. This approach is mainly concerned with the human condition, environmental changes and changes to improve new relationships with stakeholders and territories. It has two well-defined outputs: social inclusion and wellbeing. It is motivated by the goal of improving the quality of life or the improvement of current

unsatisfactory conditions. This approach also defines social innovation in terms of market-based solutions that may result in profitable business opportunities by figuring out unrealized business potential in social change.

The *service-oriented* approach focuses not only on the generation of ideas, but also on their implementation. This approach can also be considered activity-oriented. Here, social innovation is motivated by the development of new products and services that simultaneously meet social needs and create new social relationships or collaborations. It looks at social innovation in terms of a business strategy that seeks to create new forms of socio-economic value, giving companies the opportunity for greater social impact. In other words, it focuses on the design of tangible products and services that will create commercial benefits, while simultaneously satisfying a human need. The evolving approach looks at social innovation in terms of creating behavioural changes.

The *evolving* approach actively encourages empowerment processes where individuals, communities and organisations take responsibility for their own situations. It is about self-initiative and an open attitude towards positive change. This approach is also consistent with the notion of improving the quality of life. It defines social innovation from an ethical position of social justice and social construction. Its outputs are oriented towards changes at the cultural, normative or regulative structures of society in order to enhance that society's collective power, resources and improve its socio-economic performance.

The *process* approach considers social innovation as initiatives, products or processes that profoundly change basic routines and challenges the status quo. It is also seen as a novel mechanism used in order to increase the welfare of individuals who adopt it. It looks at social innovation in terms of steps to follow in order to explicitly apply innovation to social and environmental improvements in the way business does.

5. Management of Typical Industrial-Oriented, and Social Innovation Projects: A Comparison.

In this section, we present a comparative analysis of project management (i.e., traditional industry-oriented projects) and social innovation-type projects. The comparative analysis presented in this paper is of vital importance in order to better understand how project management and social innovation differ from each other, and to ascertain which insights from project management can be applied or adapted to the social innovation domain. This analysis is based on ten key areas that were observed in the literature and encompasses the different definitions and approaches used in the typology explained above; these areas are: objectives, key drivers, bottom line, motivations, goals, structures, patterns of growth, key agents of innovation, and metrics for value and success.

As we can see in Table 2, project management and social innovation projects are different in many ways. To start with, they differ in terms of purpose and objective¹⁰. While the main objective of project management is to meet specific goals and to bring about economic value²⁵, for social innovation projects, it is social change and the establishment of new social practices. The key driver of project management is profitability and commercial success²⁶. On the other hand, research suggests that a social innovation project will only succeed if it meets social needs⁵. In traditional business practices, people get paid, while most social innovation-type projects rely on voluntary unpaid work and gifting. People are intrinsically motivated to work on social innovation projects⁵ and mostly the outcomes are not materialistic; rather, the output could be a change of attitude, behaviour or new social practice²⁷. Conversely, the motivations in traditionally-oriented projects are extrinsic such as “*profits, incentives and product creation*”. In project management, the workforce focuses on delivering specific outputs²⁸ towards the production, development or improvement of physical products that are monitored and controlled against specifications²⁹, and value is a function of benefit and cost³⁰. In project management, the metrics for value and success are quantitative; this characteristic makes a traditional business-oriented project easier to measure in comparison to social innovation projects, where metrics for success and value are more qualitative³¹. In addition, project management has defined structures, tools and templates, which are not systematically employed in the social innovation domain. Some researchers have even asserted that “there is an absence of an integrated framework to manage social innovation approaches”³.

Table 2. Management of Typical Industrial-Oriented Projects and Management of Social Innovation Projects.

Features	Project Management	Social Innovation Projects (SIP)
Objectives	To meet unique and specific goals; typically to bring about beneficial change or added value ²⁵ .	Associated with intended, planned, coordinated, goal-oriented, and legitimated actions undertaken by social agents aiming at social change that will emerge in the establishment of new social practices ³² .
Key driver	Profitability and commercial success ²⁶ .	To meet social needs ⁵ .
Bottom line	Money ⁵ .	Political recognition/support; voluntary labour; philanthropic commitment ⁵ .
Motivation	Extrinsic: Materialistic (profits, incentives; product creation).	Intrinsic: Non materialistic (e.g. inner moral passion/need; recognition; compassion; identity: autonomy; care) ⁵ .
Goals	The temporary production, development, or improvement of a <i>physical</i> product, system or facility — and monitored and controlled against specification (quality), cost and time ²⁹ .	Blurred boundaries between production and consumption ⁹ . Non-material outcomes: changes of attitudes, behaviour, or perception resulting in new social practices ²⁷ .
Structures	There is a set structure and frameworks to manage projects ³³ .	There is an absence of an integrative framework for social innovation approaches ³ .
Patterns of Growth	Faster growth; less resilient ⁵ .	Slow, but tend to be more resilient ⁵ .
Key agent of innovation	The firm ⁵ .	Coalitions and network ⁹ .
Metrics for success	Scale; market share; profit ³⁴ .	The very measures of success may be contested, as well as the tools for achieving results ⁹ . Improvements in the quality of life ⁵ ; scale.
Metrics for value	Value is a function of benefit and cost ³⁰ . Metrics for value are quantitative.	Value focusing on the improvement in quality and quantity of life ¹⁹ . Social innovation measurement is more qualitative ³¹ .

6. Key Challenges.

As a result of a comprehensive analysis of the literature, we found that there exist at least six key issues and challenges that need to be addressed in order to manage social innovation-type projects. In summary, these key issues and challenges are shown in Table 3. As we can see, social innovation projects are complex, lengthy and difficult to measure due to their intangible nature. Social innovation projects are also unique in their outcomes and relationships and they are also very dynamic. Another important key issue is that social innovation-type projects rely mostly on voluntary labour and philanthropic commitment, which is clearly constrained by the goodwill of their participants. The last key issue identified has to do with the absence of a framework. Social innovation projects are not framed or delimited yet; there still exist unclear boundaries about what they are and where it takes place, and there is no defined model or a grounded structure gaining general acceptance.

Table 3. Key Issues and Challenges of Social Innovation Projects.

Key Issue	References
Complex and lengthy	Difficult and protracted in practice; costly in terms of resources and the commitment to bring about changes in routine relationship dynamics ³⁵
Intangible nature	The intangible structure of social innovations represent the main distinction ³² . Social innovations are non-material: their material outcomes are solely a supplementary result and they focus not on needs, but on asset-building ²⁷ . Measurement is more qualitative ³¹
Dynamic in nature	There is a departure from standard procedures ³⁵
Distinctive in their outcomes and relationships	Distinctive in their outcomes and in its relationships. As a result, the processes, metrics, models and methods used in innovation in the commercial or technological field, for example, are not always directly transferable to the social economy ⁹ . Brings about social change that cannot be built up on the basis of established practices ³⁶ .
Mostly rely on philanthropic commitment	Seek out a different mix of resources, including voluntary labour and philanthropic commitment and political recognition and support ⁵ .
Not framed nor delimited	There are no clear boundaries for social innovation; social innovation can take place within public sector or within private sector, either for-profit or non-profit, or in the space between them ⁹ . Therefore, there are no top-down, or bottom-up collaborative models ¹⁰ . Blurred boundaries between production and consumption ⁹ .

7. Conclusion.

This paper attempts to provide a better understanding of social innovation projects for both academics and practitioners. We synthesise and distil the myriad of definitions and group them according to common characteristics identified in the literature. We compare and contrast social innovation projects with typical industry-oriented projects in an attempt to identify unique characteristics and attributes. From our analysis, we can conclude that there is a need for a new structure to support social innovation-type projects. This structure must be adapted to the unique characteristics of social innovation projects and should be grounded in solid research. We strongly believe that the current knowledge in the area of project management can be very helpful to accomplish this; however, further work must be done in order to address the key challenges identified herein.

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